

17 Jul 2026 00:00:00 ET | 13 pages

ASML Holding NV (ASML.AS)

AI Demand Extends Visibility into 2028; Raising TP to €2,200

CITI'S TAKE

ASML's [Q2](#) reinforces our view that the AI-driven semi investment cycle remains in its early stages, with demand strength across both advanced logic and memory, and meaningful 2027 and 2028 orders already in hand. The combination of rising lithography intensity, accelerating memory capex, improving pricing power, and increasing customer visibility supports a multi-year growth outlook, prompting us to materially raise estimates and increase TP to €2,200 while retaining Buy rating and Focus List inclusion.

Momentum continues into 2027 and 2028 — ASML continues to benefit from strong AI-driven semiconductor demand and improving customer visibility, driving a significant increase to 2026 guidance. Leading-edge foundry expansion and strong HBM/DRAM-driven memory capex are supporting EUV demand. ASML expects logic sales growth of over 25% and memory growth of over 75% this year.

Order visibility has improved dramatically — ASML indicated 2027 Low-NA EUV capacity is nearly fully booked and is already receiving meaningful 2028 orders, supporting plans to expand Low-NA EUV and DUV capacity by 30% in 2027 with a further 30% increases possible in 2028. We now forecast 67 Low-NA EUV and 130 DUV immersion units in 2026, rising to 86 / 170 in 2027, with a further increase in 2028. Our system sales forecasts move up 16–45% in 2026–28 driven by the higher unit forecasts, particularly from memory players, coupled with higher ASPs.

Margins and pricing are improving — Tight capacity and strong demand are supportive of long-term pricing power. Management highlighted ongoing value-based pricing discussions, with further upside expected as higher-productivity EUV systems and High-NA EUV become a larger share of the mix. Combined with upgrade demand and operating leverage, this supports a positive margin outlook. High-NA progress continues as Intel confirms volume production on 18A.

Material upgrade to estimates; TP to €2,200 — We adjust our 2026–26 sales up 14–36% and EPS up 25–52% driven by our higher forecasts of Low-NA EUV and DUV units and ASP. Accordingly, our TP moves to €2,200 (from €1,675) driven by 28x PE or 1x PEG based on 2028 earnings (from 39x 2027 PE). Retain Buy and Focus List.

Buy

Price (16 Jul 26 16:30) €1,598.40

Target price €2,200.00↑

from €1,675.00

Expected share price return 37.6%

Expected dividend yield 0.4%

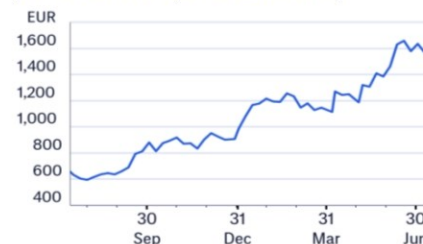
Expected total return 38.1%

Market Cap €620,415M

US\$709,538M

Price Performance

(RIC: ASML.AS, BB: ASML NA)



ASML Holding NV (EUR)

Year to 31 Dec	2024A	2025A	2026E	2027E	2028E
Sales (€M)	28,262.9	32,667.3	44,741.9	58,849.1	73,374.6
Net Income (€M)	7,571.6	9,609.4	15,617.4	22,737.6	29,814.5
Diluted EPS (€)	19.24	24.72	40.42	59.10	78.05
Diluted EPS (Old) (€)	19.24	24.72	32.29	42.67	51.25
PE (x)	83.1	64.7	39.5	27.0	20.5
EV/EBITDA (x)	61.8	49.5	31.5	21.5	16.0
DPS (€)	6.40	7.50	8.63	9.92	11.41
Net Div Yield (%)	0.4	0.5	0.5	0.6	0.7

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Figure 1. Key changes in our estimates

Dec FY, € m	2026E			2027E			2028E		
	New	Old	Δ%	Citi	Old	Δ%	New	Old	Δ%
Group revenue	44,742	39,262	14%	58,849	47,633	24%	73,375	53,942	36%
Operating Income	18304	14401	27%	26782	19029	41%	35182	22753	55%
Diluted EPS (€)	40.42	32.29	25%	59.10	42.67	38%	78.05	51.25	52%
Other KPIs									
Net System Sales	34,280	29,564	16%	46,521	36,188	29%	59,506	41,066	45%
Installed Base Management	10,462	9,698	8%	12,328	11,445	8%	13,869	12,876	8%
Gross margin (%)	55.0%	52.1%	291 bps	56.6%	52.9%	370 bps	57.6%	54.6%	303 bps

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Source: Citi Research

Bull/Bear: ASML Holding NV (ASML.AS)

€ 2,600.00
▲ 63% Upside

€ 2,200.00
▲ 38% Upside

€ 1,300.00
▼ 19% Downside



Spread 81pp
Current Price and expected returns (upside/downside) as of 16 Jul 2026

BULL Assumptions

- Macro backdrop: Inflation proves less entrenched and moderation of banking stresses
- CY26E revenue: >30% growth in logic system sales and >100% growth in memory system sales
- ~1.3x PEG based on FY28 earnings

BASE Assumptions

- Macro backdrop: A series of rolling country-level recessions and moderation of banking stresses
- Base case revenue and EPS aligned with our underlying financial model

BEAR Assumptions

- Macro backdrop: Elevated concerns associated with banking stresses resulting in meaningful moderation of global GDP growth
- CY26 revenue: limited growth in logic system sales and memory system sales
- ~0.6x PEG based on FY28 earnings

ASML Holding NV

Company description

ASML develops, manufactures, and markets photolithography projection systems used in integrated circuit semiconductor manufacturing. Since its founding in 1984, ASML has grown rapidly to become the world's top 3 semiconductor equipment company and the largest manufacturer of photolithography scanner systems.

Investment strategy

Our Buy recommendation on ASML is based on three premises: 1) faster digital transformation, and in particular the rise of Artificial Intelligence of Things (AIoT), driving increased demand; 2) higher operational profitability, primarily as EUV matures and its share becomes significant across both systems and installed base management; and 3) stronger computational platform of semiconductor fabrication leveraging Big Data.

Valuation

We value ASML using a 28x 2028 or 1x PEG based on FY28 earnings, in line with other strong growth stocks in our coverage, which leads to our target price of EUR 2,200. We continue to have conviction in ASML's long-term growth outlook, as evident in our forecast of a 30% CAGR in EPS through 2030E. Given our strong multi-year growth forecast for ASML, we look further out than 2026 to capture the growth potential. We think this approach better captures its long-term exposure to artificial intelligence, semiconductor capex, and other structural growth areas.

Risks

We highlight the following risk factors for ASML. If the impact of these risk factors is more or less negative than we anticipate, the share price could deviate significantly from our target price:

Technological: Challenges in development of EUV technology could result in delays and lower margins.

Competition: A gain/loss in lithography and/or process control market share would result in upside/downside risk to our estimates.

Customer Risk: ASML derives a significant share of its revenues from a few large customers, and an increase/cut in their capex could result in risk to our estimates.

Macroeconomic: A weak macroeconomic environment and/or escalation in geopolitical tensions resulting in subdued semiconductor growth/increase in cadence could cause downside to our estimates.

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Appendix A-1

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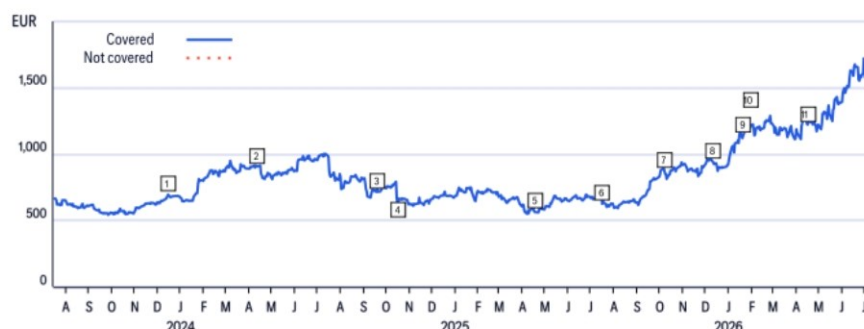
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ASML Holding NV (ASML.AS)

Ratings and Target Price History
Fundamental Research

Analyst: Andrew M. Gardiner, CFA



	Date	Rating	Target Price	Closing Price
1	15-Dec-23 00:00:00	1	*900.00	694.70
2	12-Apr-24 00:00:00	1	*1,250.00	907.50
3	18-Sep-24 00:00:00	1	*1,150.00	715.00
4	17-Oct-24 01:07:32	1	*930.00	634.20

	Date	Rating	Target Price	Closing Price
5	17-Apr-25 11:23:20	1	*860.00	564.20
6	16-Jul-25 18:41:06	1	*825.00	625.80
7	07-Oct-25 00:06:11	1	*1,050.00	874.80
8	10-Dec-25 00:00:00	1	*1,200.00	946.00

	Date	Rating	Target Price	Closing Price
9	20-Jan-26 00:00:00	1	*1,400.00	1,140.00
10	29-Jan-26 00:00:00	1	*1,600.00	1,192.00
11	16-Apr-26 00:00:00	1	*1,675.00	1,222.60

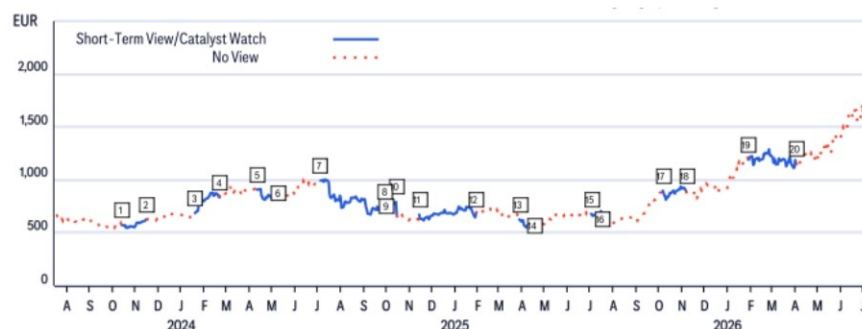
*Indicates Change

Rating/target price changes above reflect Eastern Time

ASML Holding NV (ASML.AS)

Short-Term View/Catalyst Watch Research

Analyst: Andrew M. Gardiner, CFA



Date	Action	Expected Direction	Duration	Closing Price	Date	Action	Expected Direction	Duration	Closing Price	Date	Action	Expected Direction	Duration	Closing Price
15-Oct-23 21:48:46	Add CW	Upside	30 Days	573.60	30-Sep-24 23:33:40	Remove CW	Upside	90 Days	745.60	02-Jul-25 20:00:00	Add STV	Upside	90 Days	677.60
15-Nov-23 05:34:57	Remove CW	Upside	30 Days	627.80	01-Oct-24 20:00:00	Add CW	Upside	90 Days	741.80	16-Jul-25 14:41:06	Remove STV	Upside	90 Days	625.80
21-Jan-24 19:00:00	Add CW	Upside	30 Days	686.30	15-Oct-24 07:27:39	Remove CW	Upside	90 Days	668.10	06-Oct-25 20:06:11	Add STV	Upside	30 Days	897.30
21-Feb-24 05:35:09	Remove CW	Upside	30 Days	834.00	14-Nov-24 20:44:40	Add STV	Upside	90 Days	671.60	06-Nov-25 05:35:31	Remove STV	Upside	30 Days	895.30
11-Apr-24 20:00:00	Add CW	Upside	30 Days	909.10	29-Jan-25 20:23:53	Remove STV	Upside	90 Days	682.50	28-Jan-26 19:00:00	Add STV	Upside	90 Days	1,194.40
10-May-24 12:08:52	Remove CW	Upside	30 Days	864.50	30-Mar-25 21:17:09	Add CW	Upside	90 Days	625.60	06-Apr-26 20:00:00	Remove STV	Upside	90 Days	1,161.00
05-Jul-24 14:09:25	Add CW	Upside	90 Days	993.00	17-Apr-25 07:23:20	Remove CW	Upside	90 Days	564.20					

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%

% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%
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